

Tencent (0700)

Investor meeting takeaway: AI monetization logic improves, but the stock still needs an inflection point

Our takeaway from Tencent's post-results investor meeting is incrementally constructive for the medium-term investment case, but only modestly helpful for the near-term share price, in our view. The meeting elaborated the logic of Tencent's AI investment, the monetization paths already visible, and the capital-allocation framework supporting that investment. We think this matters more for a 12-month view than for a 3-month trade. In the near term, the stock is still likely to be driven by negative earnings revisions, lower buyback expectations, and a market preference for near-term EPS visibility over longer-duration AI optionality until a new sentiment inflection point arises. On a 3-month view, we believe the rollout of foundation model Hunyuan in April could determine the narrative of Tencent's AI capability with a binary outlook ("Tencent's Gemini 3 moment" vs. "Tencent lacks top-tier AI capabilities"). In addition, Honor of King World, an open world game based on Honor of King IP, will be launched in April. This event could be another potential catalyst given low investor risk appetite and the current focus on near-term earnings revisions.

Over a longer horizon, however, the meeting improves the outlook for Tencent's narrative shifting from "rising AI cost burden" to "self-funded AI investment with multiple monetization surfaces," which would be meaningful given Tencent's AI positioning has weakened more sharply in recent months.

The most useful incremental takeaway, in our view, was management's clearer framing of both AI spend and monetization sequencing. According to management, the Rmb18bn spent in 2025 and the roughly Rmb36bn market framework for 2026 relate to new AI products rather than Tencent's total company-wide AI infrastructure spending, with substantial GPU costs supporting existing businesses and Tencent Cloud sitting outside those figures. Management also appeared more explicit, saying that the clearest AI revenue uplift today is already in advertising and gaming, where AI is improving targeting, click-through, production workflows, and content generation. The next layer of monetization should increasingly come from cloud as capacity expands, while token monetization and Weixin agent monetization remain more medium-term. In our view, this is important because it creates a more credible bridge between today's cost pressure and tomorrow's monetization, and suggests 2026 may be a year when revenue growth outpaces earnings growth by design rather than because cost discipline is deteriorating.

For the stock, we find the key question is whether investors view Tencent's AI investment as a dilutive drag or as a self-funded path toward a broader monetization opportunity. The investor meeting does not settle that debate,

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Overweight

0700.HK, 700 HK

Price: HK\$498.40

23 Mar 2026

Price Target: HK\$690.00

PT End Date: 31 Dec 2026

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but it does improve the quality of Tencent's argument. In our view, the longer-term prize is less about standalone token economics and more about Tencent's ability to monetize AI across ads, gaming, cloud, enterprise software, and ultimately the Weixin ecosystem through deeper task completion, payments, commerce, mini-shop activity, and related advertising. That said, this remains a back-end-loaded story, while the buyback reset still reduces near-term support for the stock. Net-net, we would stay tactically patient in the near term and use pullbacks to accumulate for a 12-month view, as negative earnings revisions and a lower buyback framework may cap upside in the near term, but upcoming April catalysts could begin to reset Tencent's AI narrative and improve the stock's medium-term risk/reward. Maintain OW.

Details from the meeting

Redefining the AI debate around spending quality and scope, rather than headline cost alone. Management said the Rmb18bn of AI spending in 2025 and the roughly Rmb36bn framework investors are discussing for 2026 refer to new AI products rather than Tencent's total company-wide AI infrastructure burden. Management also indicated that substantial GPU costs supporting existing businesses and Tencent Cloud sit outside those figures. The message was that these disclosed amounts should be understood as spending tied to the incubation and scaling of new AI products, not as a full measure of Tencent's overall AI-related cost base. Management also suggested that 2026 should be viewed as a year of continued heavy investment, with budgeting kept conservative on upside from existing businesses.

Showing that AI monetization is already emerging in businesses investors can underwrite today. Management said the clearest current financial contribution from AI is in advertising and gaming. In advertising, AI is improving targeting and click-through, supporting better monetization efficiency. In gaming, AI is helping accelerate the production of skins, assets and other monetizable content on top of Tencent's large user base. Management also indicated that cloud should increasingly become the next layer of monetization as GPU capacity improves, while token revenue and broader agent monetization are expected to become more relevant over time. The overall message was that AI is already contributing commercially in established business lines, rather than remaining only a future optionality story.

Positioning Weixin as the largest long-term consumer AI opportunity. Management said Tencent does not view the core consumer AI opportunity as simply selling tokens. Instead, it described the larger prize as using AI and agentic capabilities inside Weixin to improve task completion and deepen transaction behavior, which can then be monetized through payments, mini-shops, commerce take rates and related advertising. Management framed AI less as a standalone monetization product and more as an enabler that can strengthen Tencent's role in user workflows and transaction flows. The discussion made clear that management sees the

longer-term commercial value of AI in the Weixin ecosystem as potentially more significant than near-term token sales alone.

Explaining the enterprise AI path as software- and cloud-led before token-led. Management said the near-term enterprise monetization route is to embed AI into existing enterprise software and cloud offerings, including products such as WeCom and related CRM-style tools. The point was that AI can improve customer reach, engagement and conversion, thereby raising the value of these products and supporting monetization through existing software relationships. Management also pushed back on the idea that Chinese enterprises are structurally unwilling to pay for AI, arguing that willingness to pay may be closer to the US than many assume, with the main difference being pricing rather than adoption intent. At the same time, management made clear that Tencent also wants to build a meaningful token business over time, particularly as Hunyuan improves further in text and code.

Addressing execution conditions and capital-allocation flexibility. Management said compute availability has improved meaningfully, including better access to higher-end GPUs and a more workable domestic supply chain, making chip access less of a binding constraint than before. Management also indicated that the current AI spending framework should not be treated as a hard ceiling, but rather as a working baseline that could move higher if competition or technology dynamics require it. On capital return, management suggested that the reduction in buybacks should be read as a deliberate effort to preserve flexibility while AI opportunities are rising, with dividends representing the more stable component of shareholder return and buybacks remaining opportunistic. The broader message was that Tencent wants to retain financial flexibility while continuing to scale AI investment.

Investment Thesis

We view Tencent as a “fundamentals-plus-optionality” story into 2026: core engines (Weixin ecosystem, ads, and gaming) remain resilient, and we expect the AI narrative to matter more than incremental earnings revisions for share-price direction. Tencent has historically taken a measured, integration-first approach to new platform shifts, and we see its GenAI rollout as earlier-stage versus some peers in terms of visible model showcases and standalone app momentum because management appears to prioritize reliability, compliance, and ecosystem fit before scaling. That positioning leaves the stock less “AI-priced” in our view, which creates upside optionality if Tencent demonstrates clear execution and product-market fit in 2026.

Valuation

Our Dec-26 PT of HK\$690 is based on 21x 2026E P/E, at the top end of tier-1 Internet stocks' current consensus valuation range, given Tencent's solid operations and the fact that it is well positioned to benefit from GenAI.

Risks to Rating and Price Target

Downside risks to our rating and PT include:

- Further regulatory tightening for games.
- A continued slowdown in the macro economy.
- Inability to launch successful mobile game titles continuously.
- A slower-than-expected ramp-up of mobile ad revenue.
- Video content spend.
- Higher-than-expected investments into new initiatives (e.g., Cloud and Internet finance) due to intensified competition, leading to margin pressure.

Upside risks include:

- Tencent to launch and monetize its new game titles in China.
- A better macro environment to support ads growth.
- Policy support in cloud, business service, etc.

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Tencent (0700) (0700.HK, 700 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
18-May-23	OW	342.80	440
21-Mar-24	OW	288.80	410
15-May-24	OW	381.80	480
13-Oct-24	OW	438.80	520
20-Mar-25	OW	540.00	600
15-May-25	OW	521.00	630
16-Jul-25	OW	517.50	600
14-Aug-25	OW	586.00	685
14-Nov-25	OW	656.00	750
19-Mar-26	OW	550.50	690

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
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